10. Income Taxes

The domestic and international components of loss before income taxes are presented as follows:

	Years Ended December 31,		
	2020	2019	2018
	(in thousands)		
Domestic	$ (112,778)	$ (61,893)	$ 16,405
Foreign	(2,074)	29,409	(49,257)
Loss before income taxes	$ (114,852)	$ (32,484)	$ (32,852)

The income tax provision (benefit) consists of the following:

	Years Ended December 31,		
	2020	2019	2018
	(in thousands)		
Current:			
Federal	$ (176)	$ 1,604	$ 3,292
State	12	16	37
Foreign	2,687	1,560	1,640
Total current	2,523	3,180	4,969
Deferred:			
Federal	(18,595)	(13,793)	788
State	(705)	(1,829)	(2,799)
Foreign	8,025	1,095	(3,884)
Change in valuation allowance	(7,507)	(1,239)	(5,727)
Total deferred	(18,782)	(15,766)	(11,622)
Total income tax benefit	$ (16,259)	$ (12,586)	$ (6,653)

The actual income tax provision (benefit) differs from the amount computed using the federal statutory rate as follows:

	Years Ended December 31,		
	2020	2019	2018
	(in thousands)		
Provision (benefit) at statutory rate	$ (24,119)	$ (6,821)	$ (6,814)
State income taxes (net of federal benefit)	9	11	20
Research and development credits	(6,521)	(7,815)	(8,849)
Foreign rate differential	2,354	(4,489)	8,640
Stock compensation	5,425	(2,750)	74
Foreign income inclusion	1,446	3,936	1,103
Provision to return	(286)	1,887	(27)
Uncertain tax positions	222	1,244	1,463
Permanent and other	131	716	1,319
Foreign unremitted earnings	(233)	(103)	1,960
Tax Act	—	—	185
Transaction costs	883	—	—
Attribute expirations	11,937	2,837	—
Valuation allowance	(7,507)	(1,239)	(5,727)
Total income tax benefit	$ (16,259)	$ (12,586)	$ (6,653)

The components of the deferred income tax assets are as follows:

	December 31,	
	2020	2019
	(in thousands)	
Deferred tax assets:		
Net operating loss carryforwards	$ 65,790	$ 65,477
Research and development credits	79,019	80,404
Accrued expenses and other	11,669	7,768
Lease obligation	1,731	2,047
Accrued compensation	4,442	1,441
Stock-based compensation	5,415	3,460
	168,066	160,597
Less valuation allowance	(71,811)	(77,957)
	96,255	82,640
Deferred tax liabilities:		
Fixed assets	(42)	(246)
Leased right-of-use assets	(1,099)	(1,483)
Intangible assets	(9,049)	(13,627)
Net deferred tax assets	$ 86,065	$ 67,284

At December 31, 2020, the Company had federal, state and foreign tax net operating loss carryforwards of approximately $281.3 million, $78.7 million and $4.4 million, respectively. The federal and state tax loss carryforwards will begin to expire in 2021 and 2028, respectively, unless previously utilized. The foreign tax loss carryforwards will not expire.

At December 31, 2020, the Company had federal, state and foreign tax credit carryforwards of approximately $49.0 million, $90.1 million and $1.9 million, respectively. The federal and foreign tax credit carryforwards will begin to expire in 2023 and 2026,

respectively, unless previously utilized. The state tax credit carryforwards do not expire. The Company also has foreign incentive deductions of approximately $5.8 million that do not expire.

The Company utilizes the asset and liability method of accounting for income taxes, under which deferred taxes are determined based on temporary differences between the financial statement and tax basis of assets and liabilities using tax rates expected to be in effect during the years in which the temporary differences reverse. The Company records a valuation allowance to reduce its deferred taxes to the amount it believes is more likely than not to be realized. In making such determination, the Company considers all available positive and negative evidence quarterly, including scheduled reversals of deferred tax liabilities, projected future taxable income, tax planning strategies, and recent financial performance. Forming a conclusion that a valuation allowance is not required is difficult when there is negative evidence such as cumulative losses in recent years. The Company believes it is more likely than not to realize certain federal and foreign deferred assets. The Company continues to maintain a valuation allowance on its state deferred taxes, certain of its federal deferred tax assets, and certain foreign deferred tax assets in jurisdictions where the Company has cumulative losses or otherwise is not expected to utilize certain tax attributes. The Company does not incur expense or benefit in certain tax-free jurisdictions in which it operates.

The income tax benefit for the year ended December 31, 2020 primarily related to the generation of research and development tax credits, mix of pre-tax income among jurisdictions, excess tax benefits related to stock-based compensation, and release of certain reserves for uncertain tax positions under ASC 740-10.

The income tax benefit for the year ended December 31, 2019 and 2018 primarily related to the mix of pre-tax income among jurisdictions, discrete tax benefits related to stock-based compensation, and release of certain reserves for uncertain tax positions under ASC 740-10.

Income tax positions must meet a more-likely-than-not threshold to be recognized. Income tax positions that previously failed to meet the more-likely-than-not threshold are recognized in the first subsequent financial reporting period in which that threshold is met. Previously recognized tax positions that no longer meet the more-likely-than-not threshold are de-recognized

in the first financial reporting period in which that threshold is no longer met. The Company records potential penalties and interest accrued related to unrecognized tax benefits within the consolidated statements of operations as income tax expense. At December 31, 2020, the Company’s unrecognized tax benefits totaled $63.8 million, $54.3 million of which, if recognized at a time when the valuation allowance no longer exists, would affect the effective tax rate. The Company does not expect its unrecognized tax benefits to change significantly over the next 12 months. At December 31, 2020 and 2019, the Company had accrued interest and penalties of approximately $0.6 million and $0.9 million, respectively. The total amounts of interest and penalties recognized for the years ended December 31, 2020, 2019, and 2018 were not material.

The following table summarizes the changes to the unrecognized tax benefits during 2020, 2019 and 2018:

	(in thousands)
Balance as of December 31, 2017	$ 63,086
Additions based on tax positions related to the current year	3,080
Additions related to acquisitions	—
Decreases based on tax positions of prior year	(4,696)
Balance as of December 31, 2018	$ 61,470
Additions based on tax positions related to the current year	1,678
Decreases based on tax positions of prior year	(1,121)
Balance as of December 31, 2019	$ 62,027
Additions based on tax positions related to the current year	1,506
Additions related to acquisitions	1,154
Decreases based on tax positions of prior year	(922)
Balance as of December 31, 2020	$ 63,765

The Company is subject to federal and state income tax in the United States and is also subject to income tax in certain other foreign tax jurisdictions. At December 31, 2020, the statutes of limitations for the assessment of federal, state, and foreign income taxes are closed for the years before 2017, 2016 and 2015, respectively.

In April 2017, the Company's subsidiary in Singapore began operating under certain tax incentives in Singapore, which are generally effective through March 2022, and are conditional upon meeting certain employment and investment thresholds in Singapore. Under the incentives, qualifying income derived from certain sales of the Company's integrated circuits is taxed at a concessionary rate over the incentive period, and there are reduced Singapore withholding taxes on certain intercompany royalties during the incentive period. Primarily because of the Company's Singapore net operating losses and a full valuation allowance in Singapore, the incentives did not have a material impact on the Company's income tax expense for the years ended December 31, 2020, 2019 and 2018.

On March 27, 2020, the U.S. government enacted the Coronavirus Aid, Relief, and Economic Security Act, or the CARES Act, a $2 trillion relief package comprising a combination of tax provisions and other stimulus measures. The CARES Act broadly provides entities tax payment relief and significant business incentives and makes certain technical corrections to the 2017 Tax Cuts and Jobs Act, or the Tax Act. The tax relief measures for entities include a five-year net operating loss carry back, increases interest expense deduction limits, acceleration of alternative minimum tax credit refunds, payroll tax relief, and a technical correction to allow accelerated deductions for qualified improvement property. The Act also provides other non-income tax benefits, including federal funding for a range of stabilization measures and emergency funding to assist those impacted by the COVID-19 pandemic. Similar legislation is being enacted in other jurisdictions in which the Company operates. ASC Topic 740, *Income Taxes*, requires the effect of changes in tax rates and laws on deferred tax balances to be recognized in the period in which new legislation is enacted. The enactment of the CARES Act and similar legislation in other jurisdictions in which the Company operates was not material to the Company's income tax benefit for the year ended December 31, 2020.

On July 27, 2015, the US Tax Court decided on behalf of Altera Corporation, or Altera US, that certain 2003 Internal Revenue Service, or IRS regulations underpinning the transfer pricing between related parties for shared costs were invalid. The case involved the cost-sharing arrangement, or CSA entered into by Altera US with an international subsidiary. Pursuant to the terms of the CSA, the parties agreed to share the risks and costs of research and development, or R&D activities, including granted stock options and other stock-based compensation, or SBC, to certain of its employees responsible for conducting the R&D activities. In allocating the costs to be shared pursuant to that CSA, Altera US included the cash compensation of its

employees engaged in R&D in the shared cost pool but excluded their SBC. The IRS had imposed transfer pricing adjustments in each of the tax years 2004 through 2007 on the basis of Altera US' failure to include SBC costs in its CSA cost pool. On June 7, 2019, in a 2-1 ruling, a panel of the Ninth Circuit Court of Appeals reversed the Tax Court's holding and upheld a 2003 IRS regulation that requires participants in a CSA to share SBC costs. After the Ninth Circuit Court's reversal, Altera filed a petition for

en banc review of the decision by Ninth Circuit judges. The petition was denied, and the taxpayer decided to appeal to the Supreme Court. On June 22, 2020, the Supreme Court of the United States announced that it was denying the petition for certiorari and will not review an appeals court decision in the case of Altera Corporation & Subsidiaries v. Commissioner (Altera v. Comm). The announcement represented new information that the Company considered in its second quarter tax provision for the six months ended June 30, 2020. The evaluation of this ruling for all open tax periods was not material to the Company’s income tax benefit for the year ended December 31, 2020.